- Common pay scales for the soldiers, sailors and airmen with the same entry-level qualification.
- A separate military service pay was introduced which would be treated as pay for all purposes, including calculation of basic pension.
- Pension of all ranks at 50 per cent of last pay drawn, irrespective of the length of service.
- Pay band-4 to be applicable to lieutenant colonels, colonels and brigadiers.
- Near 'one rank one pension' for those who retired prior to 1 January 2006.
- Higher Administrative Grade (HAG) plus pay scale for one-third of the lieutenant generals.
- All officers from lieutenant upwards to be entitled to travel by air while on temporary duty or when availing leave travel concession.
- An allowance of Rs 1000 per child for education – for two children.
- Pay for acting rank would be admissible without any conditions of continuous service for a fixed number of days.

We also recommended a separate pay commission for the armed forces in the future, as is the practice in many other democratic countries. We were fairly satisfied with the final outcome, though there were a few areas where our recommendations were not given the desired weightage. All ranks and the veterans are getting a handsomer pay and pension package today.

An area which caused me great concern was the poor financial state of our soldiers, particularly after they retired. Veterans who have sacrificed so much for the country and served the army with dedication during their youth, most certainly deserve a better deal as far as pensions are concerned. During the deliberations of the Pay Commission we insisted that the pensions be enhanced to make it possible for these veterans to live with dignity and honour, and